

HARBORVIEW CAPITAL PARTNERS

Fund III - Investment Criteria

RETURN THRESHOLDS

Minimum Levered IRR (Equity)	0.15	Base case must clear this hurdle for IC approval
Minimum Equity Multiple	1.8	Over the hold period

LEVERAGE CONSTRAINTS

Maximum LTV	0.7	At stabilization
Maximum LTC (Construction)	0.75	For construction-to-perm facilities

HOLD PERIOD

Target Hold	3-7 years	5 years is the standard base case assumption
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ENTRY / EXIT ASSUMPTIONS

Acquisition Costs	0.03	Broker commissions + transfer taxes + legal
Exit Cap Rate Spread	+25-75 bps over going-in	Default to +50 bps unless market conditions warrant otherwise
Disposition Costs	0.02	Broker commissions + transfer taxes + legal

JV STRUCTURE (Standard Terms)

GP / LP Equity Split: 10% / 90%

Preferred Return	0.08	Compounding annually, accruing on both GP and LP equity
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Promote: 20% with 50/50 catch-up

Above Promote Split: 80% LP / 20% GP

UNDERWRITING DEFAULTS

Closing Costs	0.015	Of purchase price
Management Fee	0.035	Of Effective Gross Income
Capital Reserves	0.50	\$/SF/year, escalating at reserve growth rate